

Leave Policy

ACME Corporation | Leave Policy - HR-POL-004 - Effective 01 January 2025

1. Purpose and Scope

This Leave Policy defines the paid and unpaid leave available to all confirmed and probationary employees of ACME Corporation across its India and APAC offices.

The policy applies to full-time employees. Contractors and interns are covered by separate engagement terms agreed with the HR Business Partner.

The People Operations team owns this policy and reviews it annually. Any exception requires written approval from the Head of Human Resources.

ACME Corporation - Internal HR document - fictional sample data

2. Definitions

- Leave Year: the calendar year running from 1 January to 31 December.
- Casual Leave: short-notice paid leave for personal errands and unplanned commitments of one or two days.
- Earned Leave: paid leave accrued monthly and intended for planned vacations of three or more days.
- Sick Leave: paid leave taken for the employee's own illness, medical appointments, or recovery from a medical procedure.
- Working Day: any day that is not a weekend or a declared company holiday.

3. Eligibility and Accrual

Employees become eligible for all leave categories from their date of joining. Leave is credited on a pro-rata basis in the year of joining, calculated from the joining month.

Earned leave accrues at 1.5 days per completed calendar month of service and is credited to the employee's balance on the first day of the following month.

Casual leave and sick leave are credited in full at the start of the leave year and are not accrued monthly.

Employees serving a notice period may not take earned leave without the written approval of their reporting manager and the HR Business Partner.

4. Leave Entitlement

Every confirmed employee is entitled to 12 casual leaves per leave year. Casual leave may be taken for a maximum of two consecutive working days at a time.

Every confirmed employee is entitled to 15 sick leaves per leave year. A medical certificate is required for any sick leave of three or more consecutive working days.

Every confirmed employee is entitled to 18 earned leaves per leave year, accrued at 1.5 days per month.

In total, an employee receives 45 days of paid leave per leave year, excluding public holidays and any special leave described in section 7.

Leave balances are visible to employees at any time in the ACME HR portal under My Leave, and are updated within one working day of approval.

5. Carry Forward and Encashment

A maximum of 10 unused earned leaves may be carried forward into the next leave year. Any earned leave above that limit lapses on 31 December.

Casual leave cannot be carried forward. Unused casual leave lapses at the end of the leave year in which it was credited.

Sick leave cannot be carried forward and cannot be encashed under any circumstances.

Employees may encash up to 15 earned leaves at the time of resignation or retirement. Encashment is calculated on basic salary and is processed with the final settlement.

6. Applying for Leave

All leave must be applied for through the ACME HR portal. Email or verbal requests are not treated as valid leave applications.

Planned leave of three or more days must be applied for at least seven calendar days in advance so that work can be handed over.

Casual leave should be applied for at least one working day in advance wherever the reason is foreseeable.

Sick leave may be applied for retrospectively, but the employee must inform their reporting manager before 10:00 AM on the first day of absence.

Reporting managers are expected to approve or reject a leave request within two working days. Unactioned requests escalate automatically to the skip-level manager.

7. Special Leave

Maternity leave of 26 weeks of paid leave is available to eligible female employees for the first two children, and 12 weeks thereafter.

Paternity leave of 10 working days of paid leave may be taken within six months of the date of birth or adoption.

Bereavement leave of five working days of paid leave is available on the death of an immediate family member.

Marriage leave of five working days of paid leave is available once during an employee's tenure at ACME Corporation.

Special leave does not reduce the casual, sick or earned leave balance.

8. Leave Without Pay

Leave without pay is granted only when all paid leave balances have been exhausted, and requires approval from both the reporting manager and the Head of Human Resources.

A continuous period of leave without pay may not exceed 30 calendar days in a leave year without an approved sabbatical agreement.

Absence of three or more consecutive working days without an approved leave application is treated as unauthorised absence and is handled under the Attendance Policy.